

expert witness precludes that expert witness from charging or receiving from his or her client any balance or “unreasonable” portion of his or her fee. On the contrary, we conclude section 2034 transfers to the deposing party only those fees of the expert to the extent they are ‘reasonable.’ Any fees charged by the expert in excess of the “reasonable” fee determined by the court remain a matter of negotiation and agreement between the expert witness and the party that designated the expert witness.

(*Marsh v. Mountain Zephyr, Inc.* (1996) 43 Cal.App.4th 289, 300.) That James River Insurance contracted with a doctor with an unreasonable fee—on the evidence before the Court—does not mean that Juliano Silva should pay it. It also, does not mean, however, that Dr. Rovner is not entitled to his contractual payments. James River must refund the overage to Claimant Silva and Dr. Rovner may only charge the amount found by this Court to be reasonable at any further depositions.

8. 9:00 AM CASE NUMBER: C25-03558

CASE NAME: SNIR BEN SHLOUSH VS. JACOB ZAITLIS

HEARING ON ORDER TO SHOW CAUSE IN RE: WHY A PRELIMINARY INJUNCTION SHOULD NOT BE GRANTED REQUESTED BY PLAINTIFF'S

FILED BY:

TENTATIVE RULING:

Plaintiff Snir Ben Shloush’s request for a preliminary injunction is **denied** for the following reasons.

Background and Procedural History

Plaintiff Snir Ben Shloush and defendant Jacob Zaitlis are co-founders and co-shareholders of nominal defendant Creekside Pro Construction Inc. (“Creekside”), a California licensed general contractor based in Pleasant Hill. Plaintiff and defendant each hold 40% of Creekside’s shares; the third shareholder, Randolph M. Dinga, holds the remaining 20% in his capacity as Responsible Managing Officer (“RMO”), whose construction license qualifies Creekside for a B license from the California Contractors State License Board (“CSLB”). Defendant Zaitlis is also Creekside’s CEO and director. Plaintiff sues individually and derivatively on Creekside’s behalf. Defendant Craftsman Home Contractors (“Craftsman”) is a California corporation incorporated by Zaitlis on July 17, 2025, with its principal place of business in Pleasant Hill; it was licensed by the CSLB on August 18, 2025, and, according to Zaitlis, was dissolved in January 2026 before performing any work or generating any income. (FAC ¶¶ 5, 7, 8, 9, 10, 85; Cross-Complaint ¶¶ 3, 9–10; Zaitlis Decl. ¶ 37, Exhs. E–F.)

Shloush declares that he and Zaitlis co-founded Creekside in July 2021, with plaintiff managing field operations and Zaitlis handling office operations, and entered into an RMO Agreement with Dinga on July 12, 2021. (Shloush Decl. ¶ 1; FAC ¶ 2.) Shloush declares that as of July 1, 2025, Creekside had over four years of operating history, over 100 five-star reviews, and was fully staffed with office personnel, a production manager, and a sales force. (Shloush Decl. ¶ 3.c.iv., Exh. 6.) Shloush declares that in June 2025, while the parties’ dispute was already underway, defendant sent plaintiff a WhatsApp message stating that Creekside’s organic lead channels had opened up, that the HOZIO leads were higher quality and cost less money, and that Creekside could easily sell over \$1,000,000

per month if finance was used properly. (Shloush Decl. ¶ 3.c.ii., Exh. 3.)

Broker valuations obtained in September 2025 placed Creekside's value at between \$1,000,000 and \$1,809,873, not including Creekside's cash on hand and other tangible assets. (Shloush Decl. ¶ 3.c.iii., Exhs. 4–5; FAC ¶ 73.) The verified FAC further alleges that Creekside employed multiple staff including three dispatch workers, a production manager, a foreman, and a six-person sales force, and carried approximately \$600,000 in its bank account. (FAC ¶¶ 18, 19.)

Shloush contends that the parties mutually agreed to expand into the Dallas, Texas market, leading to the formation of a Texas LLC on December 17, 2024 (the "Texas Company"), and that plaintiff relocated to Dallas on or around January 14, 2025, and began setting up operations. (FAC ¶¶ 20, 23, 24.) Shloush contends that Creekside agreed to fund the Texas Company's expenses and that he met with 35 prospective customers in less than five months, converting one lead to a sale on or around March 7, 2025, for a contract price of \$24,770, generating a net profit of \$3,875, though the leads provided were low quality and shared with competing contractors. (FAC ¶¶ 25, 27, 28, 39.) In late February 2025, plaintiff and his domestic partner traveled to Israel for approximately one month due to a family bereavement, with defendant's knowledge and agreement, returning to Dallas on or around April 30, 2025. (FAC ¶¶ 35, 36.)

Shloush declares that on or around May 21, 2025, defendant called him and stated he no longer wanted to be partners, which Shloush experienced as coming out of nowhere. (Shloush Decl. ¶ 4.a., Exh. 13.) Despite this, Shloush declares he still trusted defendant as a friend and believed things would work out fairly, noting their messages remained friendly and they referred to each other as brothers. (Shloush Decl. ¶ 4.b., Exh. 14.) The verified FAC further alleges that Zaitlis threatened repeatedly during that call to dissolve Creekside and open a competing business. (FAC ¶ 46.) The Texas Company was officially closed on May 28, 2025, and defendant took back the capital loan of approximately \$40,000 that Creekside had extended to him. (FAC ¶ 50.)

Shloush declares that he always provided defendant with two options: either defendant receive additional compensation to run Creekside, or buy out plaintiff's interest, and that after defendant rejected the buyout idea, the parties also attempted to sell Creekside through brokers. (Shloush Decl. ¶ 4.c.) The parties executed a written management agreement (the "Agreement") signed on or around July 4, 2025, retroactive to June 1, 2025, under which defendant assumed primary responsibility for day-to-day operations, sales, and client relations, and was to receive additional compensation of 2–3% of gross sales in addition to his regular salary, with the rate increasing upon reaching milestones. (Shloush Decl. ¶ 4.c.i. Exh. 15; FAC ¶¶ 53, 95, 97.) The verified FAC alleges plaintiff fully performed his obligations under the Agreement, or was excused from performance. (FAC ¶ 96.)

During negotiations of the Agreement, Shloush declares that Zaitlis provided him two options: either he return to San Francisco and work for the Creekside or agree to defendant's terms for compensation. If neither option suited plaintiff, Shloush declares that Zaitlis threatened he would drastically cut all of Creekside's expenses, fire everyone if necessary, close all jobs, and start building a new competing company. Shloush declares that defendant stated explicitly he would not buy plaintiff out because he preferred to open something new that was his own, that he was already opening a company, and that if plaintiff did not agree to his payment percentages he would immediately stop

investing his time in Creekside. (Shloush Decl. ¶ 4.d., Exhs. 17–18.)

Shloush declares that Zaitlis incorporated Craftsman on July 17, 2025, and registered it with the CSLB on August 18, 2025, while still managing Creekside under the Agreement. (Shloush Decl. ¶ 3.a. FAC ¶¶ 61, 108.) Shloush further declares that beginning in June 2025, defendant took a series of actions to reduce Creekside's value in a pattern he characterizes as calculated and progressive: On June 5, 2025, Zaitlis reduced the Yelp budget and closed Thumbtack; on August 19, 2025, Zaitlis confirmed cancellation of the premium Yelp account, stating it was not worth it and was a waste of money; on August 22, 2025, Zaitlis told Shloush he was thinking of canceling the HOZIO SEO account and investing the \$4,000 monthly cost into Meta ads instead, but then never increased the Meta budget after canceling HOZIO; and on October 21–22, 2025, Zaitlis reduced the Meta advertising budget from \$8,000 to \$3,000. (Shloush Decl. ¶ 4.e., Exhs. 19–22.) Shloush characterizes this as defendant taking a devaluing action approximately every two months starting in June 2025, in a calculated attempt to extinguish his obligations to plaintiff and keep all of Creekside's value for himself without buying out plaintiff's interest at fair market value. (Shloush Decl. ¶ 4.e.iii.)

On August 18, 2025, Shloush declares he proposed hiring an office manager to run Creekside during the broker sale process, offering to fly to San Francisco himself to conduct the training; defendant rejected the idea, stating he was not going to deal with training a manager or giving someone else responsibility, that he did not believe anyone would want the job if Creekside would be shut down or sold, and that he had no problem managing Creekside and not touching the employees during that year. (Shloush Decl. ¶ 3.d., Exh. 7.) Shloush characterizes this as an implicit admission that defendant planned to eventually usurp Creekside's employees. (*Id.*)

Shloush further declares that defendant used a Creekside iPhone for Craftsman, which defendant admitted in a message on October 21, 2025, and that when plaintiff objected, defendant threatened to withhold approximately \$5,500 he owed plaintiff if plaintiff continued to raise the issue. (Shloush Decl. ¶ 4.g., Exh. 24.) Shloush also declares that defendant concealed that Creekside's new office lease included Craftsman as a co-tenant and listed Suite 244 as Craftsman's principal address with the Secretary of State, which plaintiff alleges was an improper alteration intended to allow Craftsman to list the address for a Google business listing. (Shloush Decl. ¶ 4.h., Exhs. 25–28.)

Shloush declares that defendant misappropriated Creekside funds by withdrawing \$209,032.99 on November 12, 2025, and \$5,900.00 on November 14, 2025, from Creekside's checking account ending in x1508, and \$2,814.65 from its checking account ending in x5699; that defendant instructed Creekside's accountant to withhold plaintiff's salary; and that defendant blocked plaintiff's access to four company email accounts and multiple messaging groups. (Shloush Decl. ¶ 3.e., Exhs. 8–11.) Shloush further declares that on November 17, 2025, before any dissolution vote, defendant sent a message to Creekside's WhatsApp office group stating that Creekside would no longer be taking in any new projects. (Shloush Decl. ¶ 3.b., Exh. 1.) The verified FAC additionally alleges, based on events occurring between October and November 2025 and many pleaded on information and belief, the following: defendant submitted a report that plaintiff's company truck was stolen; defendant sent plaintiff notices accusing him of misconduct including reference to a two-year-old DUI; defendant used a Creekside employee as the RMO for Craftsman; and with respect to credit card transactions defendant reported as fraud on October 8, 2025, plaintiff alleges that defendant actually used

Creekside's credit card to misappropriate funds for Craftsman. (FAC ¶¶ 76, 77, 83.) The verified FAC also alleges that defendant used Creekside's Vistaprint account to purchase materials for Craftsman on July 30 and again on August 27, 2025. (FAC ¶¶ 63, 70.)

Shloush declares that defendant offered only \$300,000 for plaintiff's 40% interest in early July 2025, despite Creekside holding over \$600,000 in its bank account and having been appraised at \$1.02–1.8 million by two brokers in September 2025, and that defendant refused to sign a non-compete agreement required by the brokers, thereby preventing a third-party sale. (FAC ¶¶ 58, 73, 74; Shloush Decl. ¶ 4.h.ii.)

The FAC alleges that on or around November 25, 2025, defendant sent a Notice of Shareholder Meeting, originally scheduled for December 9, 2025 and rescheduled to December 11, 2025, which falsely represented that plaintiff and defendant were each 50% owners when defendant knew they each held 40% and the RMO held 20%. (FAC ¶ 85.) Plaintiff alleges this misrepresentation was intended to surprise plaintiff at the meeting and ensure a majority vote for dissolution. (Id.) Although plaintiff was aware of the actual ownership percentages, he was uncertain whether defendant planned to have the RMO attend given the notice's representation of 50/50 ownership. (FAC ¶ 86.) As a precaution, plaintiff's counsel attempted to contact the RMO to advise him to abstain from voting unless he became informed of the ongoing dispute, but received no response. (FAC ¶¶ 87–88.) At the December 11, 2025 meeting, defendant and the RMO voted to dissolve the Company over plaintiff's objection. Plaintiff alleges that during the meeting defendant continuously avoided discussing whether dissolution was in the Company's best interest, and that the stated reason for dissolution was simply that defendant did not wish to operate the Company without plaintiff's involvement. (FAC ¶ 88.) Through counsel, plaintiff argued at the meeting that dissolution was not in the Company's best interest because it was a well-established business that could be made self-sufficient by training an office manager. (FAC ¶ 89.)

The FAC pleads nine causes of action: (1) breach of contract; (2) breach of fiduciary duty; (3) conversion and misappropriation of corporate assets; (4) violation of Business and Professions Code § 17200; (5) constructive fraud; (6) fraud; (7) breach of the implied covenant of good faith and fair dealing; (8) tortious interference with contract; and (9) accounting. (FAC ¶¶ 93–157.) Causes 2 through 4 and 6 through 9 seek punitive damages. (FAC Prayer ¶ C.) Plaintiff seeks compensatory damages of approximately \$500,000–\$900,000 for harm to his ownership interest, plus approximately \$200,000 in dividends, lost salary, and lost opportunity value from an RMO qualification. (FAC ¶¶ 102, 111, 117, 123, 132, 141, 154.) Plaintiff alternatively seeks a forced buyout at fair market value or imposition of a constructive trust over Craftsman and related assets, restitution and disgorgement, punitive damages on applicable claims, attorney fees, prejudgment interest, and such other relief as the Court deems proper. (FAC Prayer ¶¶ A–F.)

In a cross-complaint filed on January 14, 2026, and in his declaration filed March 15, 2026 in opposition to the preliminary injunction, defendant Zaitlis presents a materially different account of the same events, alleging that it is Shloush, not Zaitlis, who has breached his fiduciary duties and misappropriated corporate assets. Zaitlis sues individually and derivatively on behalf of Creekside, with Creekside named as a nominal cross-defendant for purposes of the winding up proceeding. (Cross-Complaint p. 1.)

Zaitlis declares that he and Shloush formed Creekside in July 2021 as a California close corporation with equal ownership, agreeing that Shloush would focus on sales and Zaitlis on office administration, and that neither would be paid commissions but would split profits evenly. (Zaitlis Decl. ¶¶ 2–4; Cross-Complaint ¶ 8.) In 2023, Creekside generated revenue of approximately \$1,650,000, and in 2024 revenue increased to approximately \$3,700,000. (Zaitlis Decl. ¶ 5.) Approximately two years into the business, Shloush demanded revised compensation arrangements to be applied retroactively, asserting he deserved greater compensation because he was generating income through sales. Zaitlis declares he agreed, against his own position, to pay Shloush \$200,000 in extra compensation for prior completed sales to preserve their working relationship. (Zaitlis Decl. ¶ 6; Cross-Complaint ¶ 11.) The cross-complaint additionally alleges that in addition to demands for extra compensation, Shloush caused other problems, including that he was arrested twice for driving under the influence while operating a Creekside truck, resulting in the truck being equipped with a breathalyzer, and that on multiple occasions Shloush recruited Creekside employees or third parties to breathe into the device because he had been drinking. (Cross-Complaint ¶ 12.)

Zaitlis declares that between September 2023 and September 2024, Shloush spent roughly four months traveling and visiting family outside the United States, and that between September 25 and November 3, 2024, Shloush went on an extended vacation during which he was largely unavailable, leaving Zaitlis to handle day-to-day operations alone. (Zaitlis Decl. ¶ 7; Cross-Complaint ¶ 13.) Shortly after that vacation, Shloush informed Zaitlis that he and his wife wanted to move to Texas to be closer to a larger Jewish community and to start fresh, and demanded that the parties open a Texas branch of Creekside. (Zaitlis Decl. ¶ 8.) Zaitlis declares he proposed that Shloush instead relocate within the Bay Area, including to the San Jose area, where the company had opportunities for growth. (Zaitlis Decl. ¶ 8.) Zaitlis ultimately agreed to the Texas option to maintain their relationship, though he characterizes his consent as materially different from a joint decision to expand. (Zaitlis Decl. ¶ 9; Cross-Complaint ¶ 14.) Zaitlis's account of the Texas Company's formation is largely consistent with plaintiff's (CPC Texas was formed in December 2024 with 50/50 ownership) although he contends the parties expended between \$40,000 and \$50,000 of Creekside funds on it rather than the \$40,000 figure plaintiff alleges. (Zaitlis Decl. ¶ 10; Cross-Complaint ¶ 15.)

Zaitlis declares that although Shloush received approximately 35 sales appointments in the early months of 2025, he obtained only one contract, a single remodel project signed in March 2025 with a projected profit of approximately \$5,000, reflecting an extremely low closing rate, and that this was the only contract Shloush ever obtained for CPC Texas. (Zaitlis Decl. ¶ 12; Cross-Complaint ¶ 17.) Zaitlis further declares that in March 2025, Shloush purchased investment real estate in Texas in his own name without offering Zaitlis or Creekside an opportunity to invest, and used Creekside's DocuSign account to sign a tenant lease for the property. (Zaitlis Decl. ¶ 13; Cross-Complaint ¶ 18.) Between April 1 and April 29, 2025, Shloush traveled to Israel and did not participate in the business of either Creekside or CPC Texas during that time. (Zaitlis Decl. ¶ 14; Cross-Complaint ¶ 19.)

In mid-May 2025, Zaitlis advised Shloush that the Texas expansion was not working financially, that the company was losing money there, and asked Shloush to return to the Bay Area. (Zaitlis Decl. ¶ 15.) Zaitlis also told Shloush he was feeling overwhelmed managing Creekside largely on his own and did not want to continue running a company of that size by himself. (Zaitlis Decl. ¶ 16.) Zaitlis states he was not interested in buying out Shloush's interest because he believed Shloush's proposed price

was far higher than what the company was worth. Shloush responded that he had already made the move to Texas, intended to remain there, planned to work as a sales representative for another company in Texas, and planned to form his own company there. (Zaitlis Decl. ¶ 17.)

Zaitlis declares that in or about June 2025, Shloush formed Forge Legacy Design & Build LLC in Dallas, Texas, and that he is informed and believes Shloush immediately began using Forge Legacy to engage in remodel work in Texas instead of providing that work to CPC Texas. That same month, Zaitlis became aware that Shloush was working as a sales representative for another Texas company and believes Shloush sold at least two remodeling projects for that company, and that in connection with those projects Shloush used a Creekside design software subscription to prepare 3D design renderings without Zaitlis's consent, and also used a company phone, computer, and truck while conducting that outside business activity. (Zaitlis Decl. ¶ 19; Cross-Complaint ¶ 20.)

Also in or about June 2025, the parties met to discuss potentially shutting down Creekside and agreed to explore a third-party sale, with Shloush taking responsibility for locating a broker; Zaitlis declares Shloush did not move forward promptly on that responsibility. (Zaitlis Decl. ¶¶ 20–21.) The parties entered into a Management Agreement with an effective date of June 1, 2025, under which Zaitlis would temporarily continue managing operations while the parties explored selling the business. (Zaitlis Decl. ¶ 22.) At or about the same time, Zaitlis declares, the parties agreed that each would begin moving forward with their own separate business paths, and each informed the other that they he intended to pursue their own business opportunities. (Zaitlis Decl. ¶ 23.) In July 2025, Zaitlis formed Craftsman. (Zaitlis Decl. ¶ 24.)

In mid-August 2025, Zaitlis declares the parties agreed that each could use photos of Creekside projects to promote their respective new businesses, and Zaitlis provided Shloush with three months' notice of his intention to begin taking leads to Craftsman as required under the Management Agreement, making clear he was not taking any Creekside client information, leads, or project opportunities to Craftsman, and that in fact he never did so. (Zaitlis Decl. ¶ 26.)

In late September 2025, the parties discussed hiring a broker to sell Creekside, but Zaitlis states he could not agree to sign a non-compete agreement because he needed to earn income for his family. (Zaitlis Decl. ¶ 27.) In October 2025, Shloush demanded that Zaitlis sign the non-compete and move his family out of the Bay Area, which Zaitlis rejected. Later that month, Zaitlis sent Shloush a formal notice advising that he had previously given notice on August 12, 2025, that he would cease managing Creekside, and recommending that the parties begin winding down operations. (Zaitlis Decl. ¶ 28.) Zaitlis declares that throughout this period he generated over 70% of Creekside's revenue, trained staff, created advertisements, and kept operations running, at significant cost to his health. (Zaitlis Decl. ¶ 29; Cross-Complaint ¶ 21.)

On November 5, 2025, Zaitlis received a demand letter from Shloush's counsel making allegations against him and threatening litigation. (Zaitlis Decl. ¶ 31. Exh. C.) In November 2025, Shloush accessed Creekside's bank account and took \$1,975 as a commission on the single CPC Texas project—which contends was an overpayment of \$1,500—without properly closing out the project file in the CRM system. Creekside's production manager Lindsay Foley attempted to contact Shloush multiple times to obtain information needed to close the file but received no response. (Zaitlis Decl. ¶ 32; Cross-Complaint ¶ 23.) That same month, Shloush used Creekside's credit card for unknown charges

without providing receipts. (Zaitlis Decl. ¶ 34; Cross-Complaint ¶ 23.) The cross-complaint additionally alleges that Shloush engaged in conduct designed to harm Creekside including by canceling Zaitlis's cell phone contract and terminating Creekside's bookkeeper. (Cross-Complaint ¶ 22.)

On December 11, 2025, Dinga and Zaitlis voted to dissolve Creekside, with the motion passing by a 60% vote; Shloush voted against. (Zaitlis Decl. ¶ 36; Cross-Complaint ¶ 24; Exh. A.) In January 2026, Zaitlis took steps to dissolve Craftsman, attaching as exhibits the dissolution filing with the California Secretary of State and the contractor's license detail showing the license was cancelled as of January 12, 2026. Zaitlis states that due in part to legal expenses associated with this dispute he is not in a position to invest in starting and operating a new company. (Zaitlis Decl. ¶ 37, Exhs. E–F.)

With respect to the transfer of funds, Zaitlis declares that after Shloush took the \$1,975 from Creekside's bank account, Zaitlis closed that account and moved the funds to a new Creekside account to protect the company's operating capital for remaining projects and to protect the company's reputation and his professional standing with the CSLB. (Zaitlis Decl. ¶ 38.) His intention was that Shloush would continue to have access to financial information through the bookkeeper, but that after the transfer Shloush instructed the bookkeeper to stop working on Creekside's accounting, which created additional operational difficulties including complications with payroll, W-2 and 1099 preparation, and tax filings, requiring Creekside to request filing extensions from both the IRS and the state. (Zaitlis Decl. ¶¶ 39–41.)

Since moving the funds, Zaitlis declares he has provided Shloush with month-end ledgers showing all transactions in the Creekside account. (Zaitlis Decl. ¶ 43.) With respect to specific transactions questioned by Shloush's counsel, Zaitlis explains that Checks #79 and #80 represent commissions for projects he personally sold and managed under the company's longstanding commission structure, and that Check #90 represents payroll compensation for his ongoing work managing the company's operations. (Zaitlis Decl. ¶¶ 44–45.) He states that credit card payments in the ledger correspond to company operating expenses including materials, software, permits, utilities, and other operational costs. (Zaitlis Decl. ¶ 47.) He further states that he has granted Shloush full access to the company CRM system and project files, that Shloush has not logged in to review the information, and that he is open to a line-by-line review of all credit card transactions with Shloush's counsel. (Zaitlis Decl. ¶¶ 48–50.) He notes that Shloush has not provided statements or explanations for transactions on Shloush's own company credit card. (Zaitlis Decl. ¶ 51.)

Zaitlis states that Creekside currently has two projects waiting for permits and eleven projects in progress, that he estimates completion of all projects between July and September 2026, and that once all projects are completed and final expenses paid, any remaining funds will be shared 50/50 with Shloush. (Zaitlis Decl. ¶ 52.)

The cross-complaint pleads five causes of action against Shloush: (1) breach of fiduciary duty, based on Shloush's alleged placement of personal interests ahead of corporate interests, refusal to work on corporate projects, diversion of business opportunities to Forge Legacy, use of Creekside assets to operate Forge Legacy, actions to harm Creekside such as firing the bookkeeper and taking funds from Creekside accounts; (2) conversion, based on the \$1,500 alleged overpayment from Creekside's bank account and diversion of sales leads to Forge Legacy; (3) injunctive relief to prevent Shloush from using wrongfully obtained funds, interfering with Creekside's operations, communicating with

Creekside customers or subcontractors, or accessing Creekside's accounts; (4) declaratory judgment that Creekside is in the winding up phase following the December 11, 2025 dissolution vote; and (5) a petition under Corporations Code section 1904 for court supervision of the voluntary winding up of Creekside to protect Zaitlis's 40% interest. (Cross-Complaint ¶¶ 25–43; Prayer ¶¶ 1–10.)

On January 9, 2026, plaintiff filed an ex parte application for a temporary restraining order and an order to show cause re preliminary injunction, supported by the declaration of Snir Ben Shloush. Plaintiff requests the following relief: (a) an injunction enjoining defendant and his agents from taking any further steps to wind up, dissolve, or liquidate Creekside; (b) an injunction enjoining defendant from transferring, dissipating, or encumbering any Creekside assets; (c) an injunction enjoining defendant from continuing operations of Craftsman; (d) an order requiring an immediate accounting and return of the approximately \$215,000 withdrawn from Creekside's bank account, or alternatively access to the bank account currently containing those funds; (e) an order requiring defendant to preserve all books, records, and electronic data of both Creekside and Craftsman; and (f) an order requiring defendant to pay plaintiff's past and future unpaid salary of \$5,000 per month. (Ex Parte App. pp. 1–2; Barzilai Decl. ¶ 10.)

On January 12, 2026, defendant filed a limited opposition arguing there was no urgency and no valid basis for a TRO, contending that the business deteriorated after Shloush moved to Texas and essentially abandoned his role, that the dissolution vote was proper under Corporations Code section 1900(a), that he has not done any work or generated any income through Craftsman, that he moved Creekside's funds to a new account rather than stealing them, and that he objects to paying Shloush any salary because Shloush is not providing any services to Creekside. On January 13, 2026, the Court denied the TRO but issued an Order to Show Cause re preliminary injunction, setting a hearing for March 26, 2026, with defendant's opposition due March 15, 2026, and plaintiff's reply due March 19, 2026.

On March 15, 2026, defendant filed a memorandum of points and authorities in opposition to the preliminary injunction, supported by the Zaitlis declaration, arguing that plaintiff cannot demonstrate likelihood of success on the merits, that plaintiff's injuries are purely economic and compensable by money damages, that the balance of equities favors defendant, and that the accounting and salary requests constitute mandatory injunctive relief subject to a heightened standard that plaintiff has not met.

Plaintiff did not file a reply brief.

Legal Standard

"As its name suggests, a preliminary injunction is an order that is sought by a plaintiff prior to a full adjudication of the merits of its claim." (*White v. Davis* (2003) 30 Cal.4th 528, 554 (emphasis omitted).) "In determining whether to issue a preliminary injunction, the trial court considers: (1) the likelihood that the moving party will prevail on the merits and (2) the interim harm to the respective parties if an injunction is granted or denied. The moving party must prevail on both factors to obtain an injunction." (*Pittsburg Unified School Dist. v. S.J. Amoroso Construction Co., Inc.* (2014) 232 Cal.App.4th 808, 813-814.)

"The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm

factors; the greater the plaintiff's showing on one, the less must be shown on the other...." (*Church of Christin Hollywood v. Superior Court* (2002) 99 Cal.App.4th 1244, 1251-1252.) The burden is on the party seeking injunctive relief to show all elements necessary to support issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.)

Analysis

Irreparable Harm

Plaintiff argues three categories of irreparable harm. First, he contends that dissolution of a going-concern business causes harm that cannot be compensated in damages because once the Company's goodwill, client relationships, trained employees, and operational systems are dissipated they cannot be restored, and his primary remedies of a forced buyout at fair market value or a constructive trust will be impossible to effectuate. Second, he contends that defendant will complete the transfer of Creekside's value to Craftsman, rendering a constructive trust remedy impossible for lack of a res. Third, he contends that if the Company ceases operations before he has held RMO status for one additional year, he will lose the opportunity to qualify up to three construction companies in California, a harm he characterizes as difficult to ascertain financially.

Injunctions will rarely be granted where a suit for damages provides a clear remedy. (*Thayer Plymouth Center, Inc. v. Chrysler Motors* (1967) 255 Cal.App.2d 300, 307; *Pacific Decision Sciences Corp v. Superior Court* (2004) 121 Cal.App.4th 1100, 1110.) "An injunction will not issue where 'only money is involved'" because "there is no threat of irreparable harm, because monetary losses are compensable in damages." (*Doyka v. Superior Court* (1991) 233 Cal.App.3d 1134, 1136.)

As to the first argument, plaintiff's own verified complaint quantifies his alleged losses with considerable specificity at between \$500,000 and \$900,000 for harm to his ownership interest, plus approximately \$200,000 in dividends and lost salary. That plaintiff has placed a dollar figure on his losses undermines the assertion that they cannot be adequately compensated at trial. Moreover, plaintiff's primary remedy of a forced buyout is itself a monetary remedy, presupposing that the value of his interest is ascertainable and compensable in money. That the Company may be worth less at the time of judgment than at its peak goes to the measure of damages, not to the adequacy of the legal remedy.

As to the second argument, defendant has submitted uncontested evidence that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before it performed any work or generated any income. The threat of imminent asset transfer to an active competing entity is not supported by the current record.

As to the third argument, the alleged harm depends on a chain of contingencies, namely that plaintiff would have obtained RMO status, used it to qualify additional companies, and that those companies would have generated profits, and plaintiff has offered no evidence quantifying or substantiating that harm beyond the bare assertion. Speculative harm does not satisfy the irreparable harm requirement.

Probability of Prevailing

Plaintiff identifies five acts in support of his likelihood of success argument: (1) defendant formed a directly competing company, Craftsman; (2) defendant misappropriated over \$215,000 in corporate

funds; (3) defendant used Company assets to launch Craftsman; (4) defendant devalued the Company by slashing its marketing budgets and closing its lead-generation accounts; and (5) defendant used improper means to vote to dissolve the Company immediately after being served with the complaint in this case. Each of these allegations is directly contested by defendant's declaration.

Plaintiff has not met his burden of demonstrating probable success on the merits.

As to the formation of Craftsman, the record has evolved since the ex parte application was filed. Defendant has submitted uncontested evidence that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before it performed any work or generated any income. (Zaitlis Decl. ¶ 37, Exhs. E–F.) Plaintiff claims the mere formation of a competing business while serving as CEO constitutes a breach of the duty of loyalty under *Xum Speegle, Inc. v. Fields* (1963) 216 Cal.App.2d 546, 554. Defendant responds that California law permits corporate officers to make preparations to compete so long as they do not misappropriate trade secrets, divert corporate opportunities, or act in direct competition during employment, citing *Bancroft-Whitney Co. v. Glen* (1966) 64 Cal.2d 327, 345–46, and further declares that the parties mutually agreed each could open their own business, that he provided three months' notice as required under the Management Agreement, and that he never diverted a single lead, client, or corporate opportunity to Craftsman. On this record, the evidence is evenly balanced and does not permit a finding of probable success on this claim.

As to the \$215,000, Plaintiff characterizes the transfer as misappropriation and requests either an accounting and repatriation of the funds or access to the account currently containing them. Defendant declares he moved the funds to a new Creekside corporate account to protect the company's operating capital after Shloush accessed Creekside's bank account in November 2025 and took \$1,975 as a commission on the single CPC Texas project when Zaitlis contends the correct commission was \$475, and also used Creekside's credit card for unknown charges without providing receipts. (Zaitlis Decl. ¶¶ 32, 34, 38.) Since moving the funds, defendant has provided plaintiff with monthly ledgers, offered access to the account, and offered a review of all credit card transactions. (Zaitlis Decl. ¶¶ 43–51.) In other words, defendant has already voluntarily offered the alternative relief plaintiff requests. Plaintiff did not reply to these representations. The factual dispute as to whether the transfer constitutes misappropriation cannot be resolved on this record in plaintiff's favor at the preliminary injunction stage, and the alternative relief plaintiff seeks has already been offered by defendant without a court order.

As to the reduction of marketing budgets, defendant's business judgment rule argument has force on this record. Defendant declares those decisions were made only after the parties had agreed to separate and wind down, and that they reflected a good-faith decision to preserve funds for completing existing projects rather than investing in new business that a one-man operation could not handle. (Zaitlis Decl. ¶¶ 20–22, 25.) Plaintiff does argue that the reductions were made while the Management Agreement was still in effect and while broker discussions were ongoing, but that argument is contested on this record and cannot be resolved in plaintiff's favor at this stage.

As to the dissolution vote, plaintiff raises a legally cognizable question whether a technically valid 60% shareholder vote can constitute oppressive conduct or a breach of fiduciary duty when the timing and circumstances suggest it was retaliatory. The vote was held days after defendant was served with the

complaint and after receipt of plaintiff's shareholder litigation demand, and plaintiff contends no analysis was conducted to determine whether dissolution was in the company's best interest. These allegations may support a claim for damages. Even assuming, however, that plaintiff could establish a probability of success on this theory, injunctive relief halting the wind-down would not undo the dissolution vote, which has already occurred. That relief goes beyond preserving the status quo and constitutes mandatory injunctive relief subject to a heightened standard that plaintiff has not met. "A mandatory injunction is not permitted except in extreme cases where the right thereto is clearly established and irreparable injury will flow from its refusal. (*Board of Supervisors v. McMahon* (1990) 219 Cal.App.3d 286, 295.)

In a case such as this, where the factual record consists of sharply conflicting declarations, the Court cannot find the requisite probability of success on the merits. Plaintiff has not replied to defendant's opposition to the OSC and the Court therefore has only one side of the fully developed record before it at this stage.

Interim Harm

To obtain a preliminary injunction, plaintiff must present evidence of the irreparable injury or interim harm that it will suffer if an injunction is not issued. (*White, supra*, 30 Cal.4th at p. 554.) The Court "compares the injury to the plaintiff in the absence of the injunction to the injury the defendant is likely to suffer if an injunction is issued." (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 633.)

Even assuming plaintiff had demonstrated irreparable harm and a likelihood of success on the merits, the Court finds that the balance of harms does not favor issuance of the requested injunction.

Plaintiff's balance of harms argument, as set forth in the ex parte application and the reply to the ex parte opposition, is that without an injunction the Company will be fully wound down and liquidated before judgment, permanently destroying its going-concern value. Plaintiff argues that a business valued at between \$1,020,000 and \$1,800,000 less than six months before the filing will be reduced to whatever remains after the existing projects are completed and expenses are paid, and that plaintiff's primary remedies, a forced buyout at fair market value and a constructive trust, depend on there being a viable going concern to value. Plaintiff further argues that defendant faces only a minimal burden from issuance of the injunction, since defendant is already completing the existing projects and would simply be required to do so under court supervision rather than winding down entirely, and that temporarily ceasing Craftsman operations imposes no meaningful burden since defendant stated that Craftsman generates no income.

On defendant's side, the balance of harms showing is that issuing the injunction would require defendant to continue operating a company he no longer wishes to run, with no assistance from plaintiff, while bearing CSLB compliance obligations, payroll obligations, and tax filing responsibilities that plaintiff has made more difficult by allegedly instructing the bookkeeper to stop working on the company's accounting. Defendant is currently completing thirteen active projects and managing all subcontractors, customers, employees, and administrative matters entirely on his own, at significant cost to his health. Essentially, plaintiff is asking the Court to compel defendant to remain in business indefinitely pending trial, while plaintiff has been in Texas operating his own construction business,

Forge Legacy Design & Build LLC, for over fifteen months. (Zaitlis Decl. ¶¶ 19, 21, 29, 42, 52.)

Plaintiff's balance of harms argument has been undermined by developments in the record that plaintiff has not addressed. Plaintiff had argued he would be irreparably harmed if defendant used the wind-down of Creekside to transfer its goodwill, assets, employees, and operational processes to Craftsman, rendering plaintiff's remedies impossible to effectuate. Defendant has submitted uncontested evidence, however, that Craftsman was dissolved and its contractor's license cancelled as of January 12, 2026, before Craftsman performed any work or generated any income. (Zaitlis Decl. ¶ 37, Exhs. E–F.) The threat of imminent asset transfer to a competing entity which animated plaintiff's moving papers is not supported by the current record.

What remains of plaintiff's irreparable harm argument is the more general contention that dissolution of a going-concern business destroys unique value that cannot be restored through monetary damages. That argument is not without merit, and *Wind v. Herbert* (1960) 186 Cal.App.2d 276 provides some support for it in the context of a fiduciary relationship where a managing partner has control over partnership funds. But it runs into two problems on this record. First, plaintiff's own verified complaint quantifies his alleged damages with specificity, which is difficult to reconcile with the claim that the harm is not compensable by monetary damages.

Second, defendant's uncontested declaration establishes that he has been providing plaintiff with monthly ledgers, has offered full access to the new account, is completing all remaining projects, and intends to distribute any remaining funds to plaintiff on a 50/50 basis upon completion. (Zaitlis Decl. ¶¶ 43, 52.) This record is materially different from *Wind*, where the managing partner had moved funds to a personal account in his own name, refused all accounting, and made unauthorized disbursements to himself.

Plaintiff relies on *Heckmann v. Ahmanson* (1985) 168 Cal.App.3d 119, 136, for the proposition that a constructive trust remedy becomes ineffectual if the trustee is permitted to dissipate the *res* before judgment. (Reply to Ex Parte Opp., p. 3:20–27.) In that brief, plaintiff argues that the wind-down of Creekside as a going concern is the dissipation that Heckmann guards against, such that once the Company's goodwill, client relationships, employees, and operational systems are dissolved, there will be no *res* upon which to impose equitable relief. Setting aside that *Heckmann* involved a specific, identifiable fund of money already being spent down through the defendant's ordinary business activities and not the dissolution of a going-concern business, the constructive trust plaintiff actually seeks in the FAC is over Craftsman and related assets stemming from defendant's alleged wrongful diversion of Creekside's value. (FAC Prayer ¶ iii.) Defendant has submitted uncontested evidence that Craftsman was dissolved before performing any work or generating any income, which substantially undermines the premise that Creekside's value was diverted there and that there remains a *res* to protect.

With respect to the mandatory components of plaintiff's requested relief (the accounting and return of approximately \$215,000 and the payment of past and future salary at \$5,000 per month) the balance tips against the issuance of an injunction. These requests would affirmatively alter the financial positions of the parties before any liability has been established. The salary request is particularly difficult to sustain as defendant's uncontested showing is that plaintiff has not provided services to Creekside since relocating to Texas over fifteen months ago and ordering salary payments

before liability is established would alter the status quo rather than preserve it.

9. 9:00 AM CASE NUMBER: MSC18-01132

CASE NAME: SCHWENDEMAN VS. TRAVEL STAFF

***HEARING ON MOTION IN RE: COMPLIANCE HEARING SET BY THE COURTROOM (CONTINUED FROM 11.20.2025)**

FILED BY:

TENTATIVE RULING:

Based on the Supplemental the declaration of the Settlement Administrator, the Court concludes that the disbursement of PAGA Settlement Funds is complete and directs the administrator to release the remaining attorneys' fees.

Law & Motion

Add On

10. 9:00 AM CASE NUMBER: C25-02332

CASE NAME: DYNE WHITMORE VS. ANTIOCH UNIFIED SCHOOL DISTRICT,

***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL FOR PLTF**

FILED BY: WHITMORE, DYNE SARAH

TENTATIVE RULING:

Counsel to appear.

The Court advanced this Motion to be Relieved as Counsel for Plaintiff so that it could be addressed early in the case, as Defendant has not yet been served. The Court is inclined to grant the motion, especially given the young age of the case. The Court is concerned, however, as it has not received proof that Plaintiff Dyne Whitmore has received notice of this Motion. The Court requires proof that Plaintiff Whitmore has been fully advised of all rights and risks relating to this Motion before granting it.

11. 9:00 AM CASE NUMBER: MSC21-02349

CASE NAME: TAYLOR VS. AMAZON

***HEARING ON MINOR'S COMPROMISE AS TO ROMEO CERNA**

FILED BY: CERNA, ROMEO

TENTATIVE RULING: